

MANAGING TRANSFER PRICING RISKS : INDIAN AND INTERNATIONAL PERSPECTIVE



**THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA**

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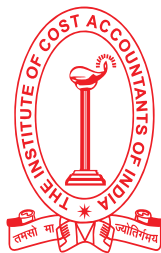
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Managing Transfer Pricing Risks: Indian and International Perspective



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The President
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Headquarters

CMA Bhawan
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Kolkata Office

CMA Bhawan
12, Sudder Street, Kolkata - 700016

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President's Message

In the contemporary global business environment, cross-border transactions have become integral to corporate growth strategies, making transfer pricing a critical pillar of international taxation. As tax administrations across the world intensify their focus on profit alignment, transparency, and anti-avoidance measures, managing transfer pricing risks has assumed strategic importance for multinational enterprises and professional advisors alike. A well-structured and forward-looking approach to transfer pricing is no longer optional; it is essential for ensuring tax certainty, regulatory compliance, and sustainable business operations.

Against this backdrop, the book *"Managing Transfer Pricing Risks: Indian and International Perspective"* is both timely and highly relevant. The publication offers a comprehensive examination of transfer pricing risk management, drawing upon Indian regulations as well as international developments and best practices. It provides valuable insights into how businesses can identify potential risk areas, align their transfer pricing policies with commercial realities, and respond effectively to increasing scrutiny from tax authorities.

The transfer pricing landscape is evolving rapidly, influenced by global initiatives such as BEPS, enhanced documentation requirements, digitisation of tax administration, and a growing emphasis on substance over form. These developments have significantly expanded the scope and complexity of transfer pricing compliance and audits. In such an environment, professionals and businesses must adopt a proactive and informed approach to risk assessment, documentation, governance, and dispute management. This book addresses these challenges in a structured and practical manner, bridging the gap between regulatory frameworks and real-world implementation.

A notable strength of this publication lies in its practitioner-oriented perspective. By examining transfer pricing risks across the transaction life cycle—ranging from policy formulation and benchmarking to audits and dispute resolution—it equips readers with actionable guidance to minimise exposure and enhance compliance. The balanced treatment of Indian and international perspectives further enhances its relevance for organisations operating in a globalised economy.

I am confident that *"Managing Transfer Pricing Risks: Indian and International Perspective"* will serve as a trusted reference for Cost and Management Accountants, tax professionals, industry leaders, academicians, and students. The book will undoubtedly contribute to informed decision-making, improved compliance, and the development of robust transfer pricing practices aligned with global standards.

CMA T C A Srinivasa Prasad

President
ICMAI

Date: 09.01.2026



Vice President's Message

In the modern global economy, the rapid expansion of cross-border transactions and international trade has brought transfer pricing to the forefront of tax policy and business strategy. Managing transfer pricing risks effectively is not just a matter of compliance, but a strategic necessity for multinational enterprises seeking to navigate the complex, evolving landscape of tax laws. With the ongoing changes in international tax frameworks, particularly the impact of the OECD's BEPS (Base Erosion and Profit Shifting) guidelines, and the growing focus on transparency and accountability, businesses must ensure that their transfer pricing practices are robust, compliant, and defensible.

The publication "*Managing Transfer Pricing Risks: Indian and International Perspective*" provides a timely and invaluable resource in addressing these pressing concerns. This book delves into the critical challenges faced by businesses in managing transfer pricing risks, both from an Indian and a global standpoint. With international tax reforms, digitalisation, and increasing scrutiny from tax authorities, the complexity of transfer pricing compliance has grown significantly. This publication provides readers with practical insights into how these changes can be effectively managed, while also highlighting emerging risks and offering guidance on mitigating them.

What makes this publication particularly valuable is its dual focus on both Indian and international perspectives. By examining transfer pricing risks through the lens of Indian regulations and global trends, the book provides a comprehensive understanding of how businesses can align their practices with international standards while navigating local complexities. Its practical approach ensures that professionals can confidently address the risks associated with transfer pricing audits, documentation, and disputes.

The publication also addresses the strategic importance of developing a risk management framework, which is increasingly critical in ensuring tax certainty and preventing costly disputes. Whether you are a tax professional, business leader, auditor, or policymaker, the insights provided in this book will help you mitigate risks, optimize transfer pricing strategies, and ensure compliance with evolving regulations.

I wish the book widespread success and hope it will serve as an essential reference in the development of more effective transfer pricing strategies and risk management practices.

CMA Neeraj Dhananjay Joshi

Vice – President
ICMAI

Date: 09.01.2026



Chairman's Message

The complexity and significance of transfer pricing in today's global business environment cannot be overstated. As multinational enterprises increasingly engage in cross-border transactions, managing the risks associated with transfer pricing has become an essential component of effective corporate governance and tax compliance. With the ongoing evolution of international tax standards and the introduction of the OECD's BEPS (Base Erosion and Profit Shifting) framework, businesses must adapt to increasingly stringent rules to ensure that their transfer pricing practices align with both local and international regulations.

The publication "*Managing Transfer Pricing Risks: Indian and International Perspective*" comes at a crucial time when businesses are navigating an increasingly complex regulatory landscape. This book offers an invaluable resource, providing a thorough examination of transfer pricing risk management from both an Indian and global perspective. It equips professionals with the tools they need to navigate the intricacies of compliance, audit preparedness, documentation, and dispute resolution.

One of the key benefits of this publication is its focus on practical risk management strategies in light of recent changes in transfer pricing rules and international tax reforms. The introduction of new documentation standards, increased scrutiny of related-party transactions, and the push for transparency and substance over form, particularly under the OECD guidelines, have raised the stakes for businesses. This book analyzes these emerging challenges and offers actionable insights into how businesses can mitigate risks associated with transfer pricing audits, penalties, and disputes.

The authors have done an exceptional job in providing not only technical insights but also strategic perspectives, making this book an indispensable guide for Cost and Management Accountants, tax professionals, auditors, corporate leaders, and academicians alike. By bridging the gap between regulatory complexity and practical application, "*Managing Transfer Pricing Risks*" serves as a comprehensive guide for effectively managing and mitigating risks while ensuring that transfer pricing practices are defensible and compliant.

It is my belief that this publication will contribute significantly to advancing understanding and compliance in the transfer pricing domain. I wish the authors and contributors continued success in their efforts and trust that "*Managing Transfer Pricing Risks: Indian and International Perspective*" will be widely embraced as a critical resource for professionals navigating the complexities of global tax compliance.

CMA Ashish P Thattai

Chairman – Indirect Taxation Committee

ICMAI

Date: 09.01.2026

Preface

In an era where businesses operate across borders, the complexities of managing transfer pricing risks have become a central concern for companies, tax authorities, and professionals. The evolution of international tax laws, particularly with the introduction of the OECD's BEPS (Base Erosion and Profit Shifting) framework and India's ever-evolving transfer pricing regulations, has amplified the need for businesses to stay informed and prepared to manage risks effectively. Transfer pricing, while a tool for optimizing intercompany transactions, is increasingly scrutinized, and missteps can lead to costly penalties, reputational damage, and long-term challenges for businesses.

The book *"Managing Transfer Pricing Risks: Indian and International Perspective"* aims to provide readers with a thorough understanding of the key risks involved in transfer pricing and offer practical strategies to mitigate them. In this comprehensive guide, we examine the current regulatory landscape both in India and globally, highlighting the evolving trends, emerging risks, and practical challenges that businesses face when it comes to managing their transfer pricing arrangements.

Transfer pricing is not just about compliance; it's about ensuring that transactions between related parties are conducted at arm's length, reflecting the true value of goods, services, and intellectual property being exchanged. With international standards becoming more aligned, businesses must ensure that their pricing strategies are robust, defensible, and transparent. This book dives into the practical aspects of risk management, from preparing for audits and dealing with disputes, to managing documentation and complying with ever-tightening regulations.

In the face of increasing scrutiny from tax authorities globally, businesses must be more proactive than ever before. The book covers the latest developments, providing both legal insights and practical advice on managing transfer pricing risks. By addressing real-world examples, the book also helps professionals understand how to apply these concepts to their day-to-day operations.

We express our sincere gratitude to **CMA Pramod Agarwal** for his expertise and contribution to this publication. His deep understanding of both Indian and international transfer pricing issues has been key in crafting a resource that blends practical knowledge with legal insight.

It is our hope that this book will serve as a trusted companion for professionals and businesses alike, helping them make informed decisions, stay ahead of regulatory changes, and ultimately, mitigate the risks associated with transfer pricing in a rapidly evolving global market.

Thank You.

Team TRD

Date: 09.01.2026

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Objective of Handbook

The primary objective of this handbook is to provide a comprehensive and practical guide on managing the inherent risks and uncertainties associated with transactions falling under ambit of transfer pricing regulations. It is precisely designed to identify, measure, and effectively manage TP risks within the complex and evolving frameworks of both Indian domestic and international tax regulations.

The ultimate goal extends beyond mere compliance; it is to create a thorough understanding of why statutory compliance is crucial and how non-compliance itself constitutes a significant business risk. This ensures robust documentation and adherence to the law while simultaneously safeguarding the financial stability of the business operations.

This handbook aims to achieve the following specific objectives:

- **Clarifying Embedded Risk:** To bring clarity to the risks embedded in cross-border transfer pricing transactions. By understanding these risks thoroughly, the goal is to prevent the “**fear of risk**” from becoming a barrier to business growth and expansion. We emphasize that transactions properly addressed for risk have high chances of success.
- **Emphasizing Statutory Compliance as a Mitigator:** To highlight that while understanding statutory provisions is essential, law itself provides mechanisms where risk can be managed proactively and upfront, rather than after a dispute arises.
- **Providing Actionable Risk Management Strategies:** To equip MNEs with practical tools and guidance on utilizing these legal mechanisms—such as Advance Pricing Agreements (APAs) and comprehensive documentation (Master File/Local File)—to achieve certainty and reduce high-risk exposures in cross-border dealings.
- **Safeguarding Business Continuity:** To ensure that potential tax liabilities, interest costs, and penalties do not threaten the MNE’s cash flow, profitability, or balance sheet, thereby ensuring operational focus and business survival

PART - A

Transfer pricing refers to the determination and regulation of prices for goods, services, intangible property, and financial transactions carried out between related entities, referred to as Associated Enterprises, within a multinational enterprise group. These transactions may include the transfer of tangible goods, provision of managerial or technical services, licensing of intellectual property, or intra-group financing arrangements. In simple terms, transfer pricing governs how much one related entity charges another for inter-company transactions.

From a tax perspective, transfer pricing rules require that such prices be set in accordance with the arm's length principle, meaning they should reflect the price that would have been agreed upon between independent parties under comparable circumstances, thereby ensuring fair allocation of profits and prevention of tax base erosion across jurisdictions.

Risk in a transfer pricing transaction refers to the potential for a multinational enterprise (MNE) to face financial penalties, tax adjustments, double taxation, and reputational damage due to the pricing of intercompany transactions not aligning with the arm's length principle (ALP). The ALP dictates that transactions between related entities should be priced as if they were conducted between independent, unrelated parties under similar circumstances.

Risks arise from the complexity of international tax regulations, varying interpretations by different tax authorities, and the difficulty of accurately valuing intercompany exchanges of goods, services, and especially intangible assets.

Why Transfer Pricing Risks Pose Greater Challenges than Typical Tax Risks?

Tax risk is an inherent component of any tax system. It arises whenever there is uncertainty regarding the interpretation, application, or enforcement of tax laws. However, not all tax risks are equal in nature or intensity. Among the various categories of tax risk, transfer pricing (TP) risk occupies a uniquely elevated and dangerous position.

While normal tax risks typically arise from domestic tax provisions—such as incorrect claims of deductions, classification of income, or procedural lapses—transfer pricing risks arise from the pricing of controlled transactions within multinational enterprise (MNE) groups, which operate across jurisdictions, legal systems, and economic environments. As a result, transfer pricing risk is structural, systemic, and multidimensional, making it far more dangerous than ordinary tax risks.

It is important to understand in depth, why transfer pricing risks pose a significantly higher threat than normal tax risks, both from a legal and an economic perspective and also from perspective of business as well as Government.

2.1. Understanding TP Risk from Business perspective

i. Conceptual Difference between Normal Tax Risk and Transfer Pricing Risk

Normal tax risk is largely rule-based. It generally arises from:

- Clear statutory provisions
- Defined thresholds and limits
- Domestic legal interpretation

In contrast, transfer pricing risk is principle-based, founded on the arm's length principle, which itself is an economic construct rather than a precise legal rule. The arm's length principle requires tax authorities and taxpayers to hypothesize how independent enterprises would have behaved under comparable circumstances—a task that inherently involves judgment, estimation, and approximation.



Thus, while normal tax risk is often about correctness, transfer pricing risk is about reasonableness, making it inherently less predictable and more contentious.

One of the most dangerous attributes of transfer pricing risk is its structural nature. Transfer pricing does not merely affect isolated transactions; it reflects how value is created and distributed across an entire multinational group.

Once a transfer pricing policy is adopted—covering pricing methodologies, functional profiles, and profit allocation—it:

- Applies to all recurring inter-company transactions
- Continues across multiple assessment years
- Influences global profit allocation

Any flaw in the underlying assumptions can therefore result in systematic and recurring tax exposure, unlike normal tax risks, which are usually transactional and limited in scope.

ii. Absence of Absolute Certainty in Transfer Pricing Outcomes

In normal tax matters, there is often a clear legal outcome. A deduction is either allowable or disallowable; an exemption either applies or does not apply. Even where interpretation is involved, judicial precedents tend to bring clarity over time.

Transfer pricing, however, operates in an environment where absolute certainty is impossible. Arm's length pricing is not a single number but a range of acceptable outcomes. Comparable data is often imperfect, adjustments are subjective, and market conditions evolve continuously.

As a result:

- Compliance does not guarantee immunity
- Different authorities may reach different conclusions on the same facts
- Litigation outcomes are inherently unpredictable

This uncertainty significantly magnifies the danger of transfer pricing risk.

iii. Economic Substance and Value Creation as Risk Drivers

Transfer pricing disputes increasingly focus on economic substance



rather than contractual form. Modern TP analysis requires examination of:

- Functions performed
- Assets employed
- Risks assumed and controlled
- DEMPE functions relating to intangibles

Disagreements over who creates value and where profits should be taxed lie at the heart of TP risk. These questions are deeply economic in nature and often subjective, making disputes difficult to resolve conclusively.

Normal tax risks rarely require such deep economic analysis.

iv. High-Value Transactions and Concentrated Exposure of Penalties, Interest, and Secondary Adjustments

Transfer pricing typically applies to:

- Core business transactions
- High-volume inter-company sales
- Strategic services and intangibles
- Group financing arrangements

Because these transactions involve significant monetary values, even marginal pricing adjustments can lead to substantial tax additions. Furthermore, TP adjustments often recharacterize income rather than merely disallow expenses, leading to asymmetric tax outcomes. Normal tax risks seldom involve such concentrated exposure.

Transfer pricing adjustments often attract:

- High penalties linked to under-reporting or misreporting
- Interest over extended periods
- Secondary adjustments (e.g., deemed loans and notional interest)

These additional consequences significantly amplify the cost of TP risk. Normal tax risks, by contrast, typically involve lower and more predictable penalty regimes.

Further, transfer pricing adjustments rarely affect a single year in isolation. Tax authorities often:

- Apply the same adjustment logic to multiple years



- Reopen past assessments
- Use one year as a benchmark for future years

This creates retroactive and prospective risk, multiplying exposure far beyond the original assessment year. In contrast, normal tax risks are generally confined to specific years and claims.

v. Cross-Border Nature and Double Taxation Risk

Perhaps the most dangerous consequence of transfer pricing risk is economic double taxation. When one jurisdiction makes an upward adjustment, the corresponding jurisdiction may not grant relief automatically.

Relief mechanisms such as Mutual Agreement Procedure (MAP) and Advance Pricing Agreements (APAs) are time-consuming, uncertain, and dependent on inter-governmental cooperation. Until relief is obtained, taxpayers may suffer irreversible cash-flow and profitability impacts. Normal tax risks rarely involve such cross-border complications.

vi. Burden of Proof and Documentation Risk

In transfer pricing, the burden of proof rests heavily on the taxpayer. Extensive documentation is required not only to justify pricing but also to demonstrate economic rationale and consistency.

Failure in documentation can itself:

- Trigger penalties
- Weaken the taxpayer's position
- Shift the evidentiary burden decisively in favour of the tax authority

vii. Litigation Complexity and Duration

Transfer pricing litigation is:

- Fact-intensive
- Expert-driven
- Long-drawn and costly

Disputes often take many years to reach finality, during which uncertainty persists. Outcomes depend not only on law but also on expert evidence and economic interpretation.



Transfer pricing disputes often attract:

- Media attention
- Parliamentary or regulatory scrutiny
- Investor concern

Even compliant taxpayers may face reputational damage, as TP disputes are frequently associated with perceptions of tax avoidance. This reputational dimension significantly increases the danger of TP risk.

viii. Spillover Effects Across Other Tax Regimes

Transfer pricing adjustments can impact:

- Customs valuation
- GST/VAT
- Withholding tax
- Financial reporting and deferred tax positions

This spillover effect multiplies risk beyond income tax alone, making TP risk truly enterprise-wide.

Therefore, transfer pricing risks are treated more dangerous than normal tax risks because they are structural, subjective, high-value, cross-border, enforcement-intensive, and strategically consequential. They combine legal uncertainty with economic interpretation and global scrutiny, creating a risk profile that is deeper, broader, and more persistent than traditional tax risks.

Effective management of transfer pricing risk therefore requires not only technical compliance but also strategic foresight, economic understanding, and continuous governance oversight.

2.2. Understanding Transfer Pricing Risk from the Government Perspective

Unlike routine tax risks, transfer pricing risk threatens not only immediate revenue outcomes but also the long-term integrity, fairness, and legitimacy of the tax system itself. For this reason, governments worldwide treat transfer pricing not as a routine compliance matter, but as a strategic fiscal and governance priority, demanding constant vigilance, policy innovation, administrative sophistication, and sustained international coordination



(i) Transfer Pricing Risk as a Sovereign Fiscal Risk

From a government's perspective, transfer pricing risk is not merely a technical matter of tax computation or audit interpretation; it represents a sovereign fiscal risk with direct implications for the State's ability to mobilize revenue, finance public expenditure, and preserve macroeconomic stability.

Unlike domestic tax risks, which are generally episodic, taxpayer-specific, and confined within national borders, transfer pricing risk is systemic in nature, embedded within the design of global business models themselves.

By enabling profits to be geographically separated from real economic activity, transfer pricing practices challenge the traditional foundations of source-based taxation. For governments—particularly those reliant on corporate tax revenues—this detachment threatens fiscal sovereignty by weakening the link between economic activity carried out within a jurisdiction and the tax revenues collected from it, especially in a global economy characterized by highly mobile capital, technology, and intangible assets.

(ii) Risk of Misalignment between Taxation and Value Creation

A central concern for governments is the growing misalignment between value creation and profit taxation, which strikes at the normative core of the international tax system. Governments operate on the expectation that profits should be taxed where economic activities occur and that returns should follow the functions performed, assets employed, and risks assumed within their jurisdiction.

Transfer pricing arrangements can undermine this alignment by allocating only routine returns to high-substance jurisdictions while shifting residual or non-routine profits to low-tax entities, often through the centralization of intangible ownership without corresponding decision-making authority or operational substance.

From a policy standpoint, such outcomes erode the perceived fairness and legitimacy of the tax system, weaken public confidence, and distort competitive neutrality between multinational enterprises and purely domestic businesses.

(iii) Financing Transactions and Erosion of the Corporate Tax Base

Inter-company financing transactions pose a particularly acute risk from a government perspective because of their direct, scalable,



and often opaque impact on taxable profits. Interest deductions can significantly reduce the tax base in operating jurisdictions, and financing structures are easily replicated across jurisdictions with minimal physical presence. Governments are therefore especially concerned about excessive leverage, non-arm's length interest rates, implicit or explicit guarantees that artificially lower borrowing costs, and the use of hybrid instruments that exploit mismatches between tax systems. When left unchecked, such arrangements can systematically drain profits from source jurisdictions, leading to sustained erosion of the corporate tax base without any corresponding reduction in underlying economic activity.

(iv) Future Risk Landscape

From a forward-looking perspective, governments anticipate that transfer pricing risk will intensify rather than diminish. The digitalization of business models, increasing reliance on data and intangibles, platform-based value creation, and the fragmentation of global tax consensus all contribute to a more complex and contested risk environment. As traditional indicators of value creation—such as physical presence and tangible assets—become less relevant, governments must continuously adapt their legal frameworks, administrative tools, and analytical capabilities to identify and address emerging forms of transfer pricing risk.

Therefore, from a government's standpoint, transfer pricing risk ranks among the most dangerous and consequential risks in modern taxation. It is structural, persistent, cross-border in nature, economically complex, and politically sensitive.

PART - B

Transfer pricing risk management refers to a structured and continuous framework adopted by multinational enterprises (MNEs) and tax administrations to identify, evaluate, mitigate, and monitor risks arising from cross-border transactions between associated enterprises. The primary objective of TP risk management is to ensure compliance with the arm's length principle, reduce exposure to transfer pricing adjustments, penalties, and double taxation, and promote certainty in tax outcomes.

Transfer pricing risks typically arise due to complex business models, inconsistent profit allocation, subjective interpretations of comparability, frequent changes in economic conditions, and evolving tax regulations across jurisdictions. Given the increasing scrutiny by tax authorities worldwide, TP risk management has become a critical component of overall tax governance.

1.1. TP Risk Management from the Taxpayer's Perspective

From a taxpayer's standpoint, transfer pricing risk management focuses on proactive compliance and prevention of disputes. This involves identifying potential risk areas within the group's controlled transactions and ensuring that pricing policies are aligned with economic substance.

A key element of this process is conducting a robust FAR (Functions, Assets, and Risks) analysis, which accurately reflects how value is created within the group. Misalignment between contractual arrangements and actual conduct—particularly in relation to risk assumption and control—can significantly increase TP risk. Therefore, taxpayers must ensure that entities assuming economically significant risks also exercise control over such risks and possess the financial capacity to bear them.

Another important aspect is the selection and consistent application of the most appropriate transfer pricing method, supported by reliable comparables and sound economic analysis. Regular review and updating of transfer pricing policies is essential to reflect changes in business models, supply chains, or market conditions. Failure to update policies often results in outdated documentation, which is a common trigger



for TP audits.

Taxpayers also manage TP risk through strong documentation practices, including preparation of the Master File, Local File, and Country-by-Country Report (CbCR), as applicable. Comprehensive documentation not only demonstrates compliance but also serves as the first line of defense during audits.

To further mitigate risk and achieve certainty, taxpayers may opt for risk-mitigation mechanisms such as:

- Safe Harbour Rules, for routine and low-risk transactions
- Advance Pricing Agreements (APAs), particularly bilateral or multilateral APAs for complex or high-value transactions
- Periodic internal TP audits and health checks

1.2. TP Risk Management from the Tax Administration's Perspective

From the perspective of tax authorities, transfer pricing risk management aims to efficiently allocate audit resources and focus on cases that pose the highest risk to the tax base. Given the volume and complexity of cross-border transactions, tax administrations increasingly rely on risk assessment frameworks rather than comprehensive audits of all cases.

Tax authorities identify TP risk using various tools, including:

- Transfer pricing disclosures and reports
- Country-by-Country Reports (CbCR)
- Financial ratios and profitability analysis
- Industry benchmarks and sectoral risk indicators
- Information exchange under tax treaties and international cooperation mechanisms

Low-risk transactions—such as those covered under Safe Harbour Rules or APAs—are generally subject to minimal scrutiny, allowing authorities to concentrate on high-risk arrangements, such as restructuring, transfer of intangibles, profit shifting to low-tax jurisdictions, or transactions involving significant intangibles and financing.

This risk-based approach enhances administrative efficiency and supports cooperative compliance models between taxpayers and tax authorities.

1. Introduction

The Organization for Economic Co-operation and Development (OECD) views transfer pricing risk management not as a narrow audit-selection exercise, but as a systemic framework aimed at ensuring that profits are taxed where economically significant activities and decision-making occur. The OECD's approach recognizes that disputes often arise not because pricing methods are incorrect in isolation, but because they are applied to mischaracterised transactions or inaccurately allocated risks.

Accordingly, OECD guidance emphasizes early identification of risk, accurate delineation of transactions, and alignment of pricing outcomes with value creation, thereby reducing the likelihood of disputes and double taxation.

Under OECD guidance, transfer pricing risk arises where there is a material likelihood that inter-company pricing does not reflect arm's length conditions. This risk may manifest in the form of inappropriate profit allocation, excessive deductions, or concentration of income in low-tax jurisdictions without corresponding economic substance.

The OECD conceptualizes TP risk as stemming primarily from:

- Misalignment between contractual arrangements and actual conduct,
- Inadequate functional and risk analysis,
- Over-reliance on legal ownership rather than economic contribution, and
- Inconsistent narratives across documentation, financial statements, and tax filings.

Importantly, the OECD does not treat TP risk as identical with low profitability. Instead, it focuses on whether profits are commensurate with the functions performed and risks controlled, regardless of whether margins are high or low.

2. OECD as the Global Standard-Setter for Transfer Pricing Risk



Although the OECD Transfer Pricing Guidelines do not have the force of law on their own, they function as the international benchmark for transfer pricing risk management.

This is because:

- Most countries explicitly adopt or reference OECD principles in their domestic transfer pricing regulations, ensuring consistency in the treatment of risk across jurisdictions.
- Courts and tax authorities rely heavily on OECD guidance when interpreting transfer pricing provisions, particularly in complex issues such as risk assumption, control over risk, and profit attribution.
- Bilateral tax treaties are largely based on the OECD Model Tax Convention, which embeds OECD concepts of arm's length pricing and risk allocation into treaty interpretation.

As a result, risk analysis in transfer pricing has become globally harmonized around OECD principles, providing a common analytical framework for taxpayers and tax administrations and reducing inconsistencies in cross-border risk allocation and profit determination.

3. Addressing Base Erosion and Profit Shifting (BEPS)

The OECD's role expanded significantly with the launch of the BEPS Project, which addressed tax planning strategies that exploit gaps and mismatches in international tax rules. Under BEPS Actions 8–10 and Action 13, the OECD strengthened transfer pricing rules to ensure that profits from international transactions are aligned with value creation and economic substance.

Key BEPS-driven contributions include:

- Emphasis on control over risk and financial capacity,
- Introduction of the DEMPE framework for intangibles, and
- Implementation of the three-tier documentation framework.

These measures have reshaped how international transactions are analyzed and priced, reducing opportunities for artificial profit shifting and thereby reducing the risk.

4. Promotion of Transparency through Documentation Standards

The OECD has promoted transparency in international transactions through the introduction of standardized transfer pricing documentation requirements, including the Master File, Local File, and Country-by-



Country Report (CbCR). These standards enhance the ability of tax administrations to assess transfer pricing risk while encouraging taxpayers to maintain consistent and defensible pricing policies.

This transparency framework strengthens trust between taxpayers and tax authorities and supports risk-based compliance management rather than adversarial enforcement.

OECD Three-Tier Documentation Helps in Transfer Pricing Risk Reduction

The three-tier transfer pricing documentation framework introduced by the OECD under the BEPS Action Plan represents one of the most significant reforms in international tax transparency. The framework fundamentally reshapes the role of documentation from a narrow compliance obligation into a strategic risk management instrument for both multinational enterprises (MNEs) and tax administrations.

By requiring information at three complementary levels—Master File, Local File, and Country-by-Country Report (CbCR)—the OECD aims to reduce transfer pricing (TP) risk through transparency, consistency, and alignment of profits with economic substance.

Conceptual Objective of the Three-Tier Framework

The OECD designed the three-tier documentation framework to address systemic weaknesses in traditional transfer pricing documentation, which often focused narrowly on individual transactions without sufficient visibility into the broader group context. Such fragmented documentation allowed inconsistencies to persist across jurisdictions, increasing the risk of aggressive tax planning and disputes.

The key conceptual objectives of the framework are to:

- Provide tax administrations with a coherent global picture of an MNE's operations and profit allocation,
- Enable early identification of transfer pricing risk through high-level indicators rather than post-facto adjustments, and
- Encourage taxpayers to align internal governance, pricing policies, and reporting across jurisdictions.

From a risk reduction standpoint, the framework discourages opportunistic profit shifting by increasing the cost of inconsistency and opacity, thereby promoting voluntary compliance and behavioral change.



I. Master File

Under the OECD's three-tier documentation framework, the Master File constitutes the first and most comprehensive layer of transfer pricing documentation and is intended to provide tax administrations with a high-level, global overview of a multinational enterprise's business operations. The Master File explains how the group is organized, how it creates value, and how profits are allocated across jurisdictions. It contains a description of the group's organizational and legal structure, its principal business activities, and the global supply chain for its major products and services.

A critical element of the Master File is its focus on intangibles and risk control, requiring disclosure of the group's strategy for the development, ownership, and exploitation of intellectual property, as well as identification of entities performing economically significant DEMPE functions. The Master File also outlines the group's inter-company financial arrangements, including treasury functions and financing policies, and provides a consolidated financial and tax overview.

From an OECD perspective, the Master File plays a central role in transfer pricing risk reduction by ensuring narrative consistency across jurisdictions and preventing fragmented or jurisdiction-specific explanations of value creation. By presenting a single, coherent global story, the Master File enables tax administrations to assess whether profits are broadly aligned with substance and to identify areas of potential transfer pricing risk at an early stage.

II. Local File

The Local File represents the second tier of the OECD documentation framework and provides a detailed, jurisdiction-specific analysis of the transfer pricing arrangements of the local entity. While the Master File explains the global business context, the Local File focuses on the economic justification for the pricing of specific controlled transactions undertaken by the taxpayer in a particular jurisdiction. It contains detailed information on the local entity's business activities, management structure, and any significant business restructurings affecting the entity. Central to the Local File is a comprehensive Functional, Asset and Risk (FAR) analysis, which identifies the functions performed, assets employed, and risks assumed by the local entity and its associated enterprises in relation to the covered transactions.



The Local File further documents the selection of the most appropriate transfer pricing method, the rationale for rejecting alternative methods, the choice of profit level indicator, and the benchmarking analysis used to establish arm's length pricing. From an OECD standpoint, the Local File reduces transfer pricing risk by providing transaction-level defensibility and demonstrating that pricing outcomes are grounded in economic analysis rather than arbitrary margins. It also allows taxpayers to contextualize their results by reference to local market conditions, thereby reducing the likelihood of inappropriate adjustments during audits and mitigating penalty exposure arising from inadequate documentation.

III. Country-by-Country Report (CbCR)

The Country-by-Country Report constitutes the third tier of the OECD documentation framework and is designed to provide tax administrations with a high-level, quantitative overview of the global allocation of income, taxes, and economic activity within a multinational enterprise group. Unlike the Master File and Local File, which contain qualitative and transaction-specific information, the CbCR presents aggregate data for each tax jurisdiction in which the group operates, including revenues, profits or losses, income taxes paid and accrued, number of employees, and tangible assets.

The OECD has explicitly stated that CbCR is not intended to be used as a transfer pricing adjustment tool but rather as a risk assessment and diagnostic instrument. From a transfer pricing risk perspective, the CbCR enables tax administrations to identify potential misalignments between profits and indicators of economic substance, such as employees and assets, and to flag jurisdictions exhibiting unusually high or low profitability. The transparency created by CbCR also serves a deterrent function by discouraging aggressive profit shifting and encouraging multinational enterprises to align their profit allocation with real economic activity.

When the data disclosed in the CbCR is consistent with the narratives in the Master File and the economic analyses in the Local File, overall transfer pricing risk is significantly reduced.

Viewed together, the Master File, Local File, and Country-by-Country Report form a coherent and complementary documentation system. The Master File establishes the global context, the Local File provides transaction-level economic justification, and the CbCR offers a macro-level consistency check. From the OECD's perspective, consistency



across these three layers is itself a strong indicator of low transfer pricing risk, while inconsistencies act as early warning signals warranting further examination. In this manner, the three-tier documentation framework transforms transfer pricing documentation into a comprehensive tool for risk management, transparency, and dispute prevention.

Integrated Risk Reduction through Consistency across Tiers

The most significant TP risk reduction benefit arises not from any single tier, but from coherence across all three tiers. When the Master File narrative, Local File analysis, and CbCR data reinforce each other, the overall risk profile of the taxpayer is substantially reduced.

Inconsistencies across tiers—such as high profits in CbCR not explained by the Master File or Local File—are among the strongest audit triggers identified by tax administrations.

Thus, the three-tier framework acts as a self-validating system, where consistency itself becomes a signal of low risk.

5. Encouragement of Cooperative Compliance and Dispute Prevention

The OECD actively promotes cooperative compliance and dispute-prevention mechanisms as an integral component of effective transfer pricing risk management. Recognizing that prolonged litigation is costly, uncertain, and disruptive for both taxpayers and tax administrations, the OECD encourages approaches that emphasize early engagement, transparency, and collaboration.

In this context, the OECD endorses mechanisms such as:

- **Advance Pricing Agreements (APAs)**, which allow taxpayers and tax authorities to agree in advance on appropriate transfer pricing methodologies, thereby providing prospective certainty and significantly reducing future disputes;
- **Mutual Agreement Procedures (MAP)**, which offer a treaty-based framework for resolving cross-border transfer pricing disputes between competent authorities, particularly in cases of double taxation; and
- **Cooperative compliance programs**, which promote ongoing, trust-based relationships between taxpayers and tax administrations through real-time disclosure and dialogue.



Collectively, these mechanisms enable transfer pricing issues to be addressed prospectively or collaboratively, rather than through adversarial audits and litigation. By fostering certainty, consistency, and mutual understanding, they play a crucial role in reducing transfer pricing disputes, enhancing the stability of the international tax system and reducing the risk.

6. Risk, Intangibles, and the DEMPE Framework

Risk analysis assumes heightened importance in transactions involving intangibles, where value creation is often mobile, integrated, and difficult to observe. Recognizing the significant profit-shifting risks associated with intangible assets, the Organization for Economic Co-operation and Development introduced the DEMPE framework, which focuses on identifying the entities that Develop, Enhance, Maintain, Protect, and Exploit intangibles.

Under this framework, the OECD clearly emphasizes that:

- Legal ownership of intangibles, by itself, does not justify entitlement to residual or non-routine profits;
- Entities that exercise control over DEMPE functions and the associated risks—including strategic decision-making and financial commitment—are entitled to non-routine returns; and
- Misalignment between DEMPE functions, risk control, and profit allocation represents one of the highest-risk areas in transfer pricing and is a frequent trigger for audit adjustments and recharacterisation.

Accordingly, DEMPE analysis lies at the core of transfer pricing risk management in intangible-intensive structures, ensuring that returns from intangibles are aligned with economic substance, decision-making authority, and risk assumption rather than mere legal form.

7. Capacity Building and Global Outreach

The OECD plays an important role in strengthening global transfer pricing administration through capacity building and international outreach, particularly for developing and emerging economies. It provides training programs, technical toolkits, and platforms for the exchange of best practices in transfer pricing and risk management.



This capacity-building initiative enables tax administrations to better understand and apply OECD-aligned principles, enhances technical competence in risk analysis and audit selection, and promotes more consistent treatment of cross-border transactions across jurisdictions. By fostering a shared understanding of transfer pricing standards, the OECD helps ensure that international transactions are governed by common and coherent principles, thereby enhancing the integrity, credibility, and effectiveness of the international tax system.

8. OECD's six-step analytical framework for analyzing risk:

Analysis of risks in commercial or financial relations

Risk is an integral part of a functional analysis. Because the assumption of increased risk would be remunerated by an increase in expected return, it is key to determine what risks are assumed, what functions are conducted in connection with the assumption or impact of the risks and which party or parties assume these risks. Risk assumption is defined as "taking on the upside and downside consequences of the risk with the result that the party assuming the risk will bear the financial and other consequences if the risk materializes.

The OECD provides following six-step analytical framework for analyzing risk:

Step 1: Identification of economically significant risks with specificity — Risk is defined as *the effect of uncertainty on the objectives of the business*. The significance of a risk depends on the likelihood and size of the potential profits or losses arising from the risk. Risks can be categorized in various ways, but a relevant framework in a transfer-pricing analysis should consider the sources of uncertainty that cause risk. These sources may include, but are not limited to, strategic or marketplace risks, infrastructure or operational risks, financial risks, transactional risks and hazard risks. The nature of the risk may inform which party in the group would be expected to perform the decision-making related to the risk.

Step 2: Determination of contractual assumption of the specific risk — written contracts between the parties to a transaction may describe the party or parties assuming the specific risks. Contractual assumption of risk provides clear evidence of a commitment to assume risk prior to the materialization of risk. The Final Report provides that



it should not be concluded that the pricing arrangements in contractual arrangements alone determine which party assumes risk.

Step 3: Functional analysis in relation to risk - This step analyzes the functions that the parties to the transaction perform in relation to risks. This analysis provides information about how the associated enterprises operate in connection with the assumption and management of the specific, economically significant risks. In particular, the analysis should look at which enterprise or enterprises perform control functions and risk mitigation functions, which enterprise or enterprises experience upside or downside consequences of risk outcomes, and which enterprise or enterprises have the financial capacity to assume the risk.

It defines risk management as the function of assessing and responding to risk associated with commercial activity. According to the report, risk management comprises three elements: (i) the capability to make decisions to take on, lay off or decline a risk-bearing opportunity, together with the actual performance of that decision-making function; (ii) the capability to make decisions on whether and how to respond to the risks associated with the opportunity, together with the actual performance of that decision-making function; and (iii) the capability to mitigate risk; that is the capability to take measures that affect risk outcomes, together with the actual performance of such risk mitigation.

Control over risk requires the first two elements of risk management. Both capability and functional performance are needed to exercise control over risk. Performing the day-to-day risk mitigation is not required in order for a party to have control over the risk. It is possible to outsource the day-to-day risk mitigation. When these day-to-day risk mitigation activities are outsourced, however, control of risk would require the capability to determine the objectives of the outsourced activities, to decide to hire the party conducting the risk mitigation functions, to evaluate whether the objectives are sufficiently satisfied, and when necessary, to decide to adopt or terminate the contract with the provider, together with the performance of such assessment and decision-making. Risk mitigation refers to measures taken that are expected to affect risk outcomes (e.g., quality control audits), which include measures that reduce uncertainty or measures reducing consequences if the downside impact of risk materializes.

References to control over risk should not necessarily be taken to



mean that the risk itself can be influenced or that the uncertainty can be nullified. Therefore, control is relevant also for risks that cannot be influenced, for example through the timing of investments, the nature of development programs, the design of marketing strategies, or the setting of production levels.

Financial capacity to assume a risk is defined as access to funding to take on the risk or to lay off the risk, to pay for the risk mitigation functions and to bear the consequences of risk materialization. Access to funding should consider the available assets and options realistically available to access additional liquidity, if required. The assessment of the access to funding should be made on the basis that the party assuming the risk is operating as an unrelated party operating in similar circumstances.

Step 4: Interpreting steps 1-3 - Based on information collected in Steps 1-3 regarding the assumption and management of risks, Step 4 determines whether the contractual assumption of risk aligns with the conduct of the parties and other facts by analyzing: (i) whether the parties follow the contractual terms; and ii) whether the party assuming the risk controls the risk and has the financial capacity to assume the risk.

If the party contractually assuming the risk controls the risk and has the financial capacity to assume the risk, the next step of the analysis is Step 6. If it does not, the analysis continues with Step 5. In contrast with the discussion draft of December 2014, which generally ignored the financial capacity to assume the risk, this factor has been added as relevant, on par with control over risk.

It provides that the mere formalizing of the outcome of decision-making (e.g., meetings organized for formal approval of decisions made in other locations, minutes of board meetings and signing of agreements regarding the decision) or the setting of the policy environment relevant for the risk (e.g., the board and executive committees of the group may set the risk level of the group) are not sufficient to conclude there is control over risk.

Step 5: Allocation of risk - If the associated enterprise (contractually) assuming the risk does not exercise control over the risk or does not have the financial capacity to assume the risk, then the risk should be allocated to the enterprise exercising control and having the financial capacity to assume the risk. If multiple parties exercise control over



risk and have the financial capacity to assume the risk, then the risk should be allocated to the party or group of associated enterprises exercising the most control.

Step 6: Pricing the transaction, taking into account the consequences of risk allocation - The accurately delineated transaction should then be priced in accordance with the tools and methods available to taxpayers and tax administrations set out in Chapters II (transfer-pricing methods) and III (comparability analysis) of the OECD transfer-pricing guidelines and taking into account the financial and other consequences of risk-assumption, and the remuneration for risk management. This basically entails the selection of the most appropriate transfer-pricing method and the identification of comparable transactions, based on the accurately delineated transaction.

"Cash boxes"

The OECD Report aims to ensure that capital-rich entities without any other relevant economic activities (so-called cash boxes) will not be entitled to any excess profits. A "cash box" that provides funding, but cannot control financial risks in relation to the funding, will attain no more than a risk-free return, or less if the transaction is commercially irrational and may be disregarded or characterized. By imposing the requirement for companies to exercise control over risk assumed, a "cash box" would have to perform the functions controlling the risks in order to be entitled to the risk-related return. If not, the risk (and the related returns) would be allocated to the group entity that is performing the control functions. The profits that the "cash box" is entitled to retain will be equivalent to no more than a risk-free return for the funding itself. Additionally, non-recognition rules may also apply. As a result, a "cash box" with no or low functionality would get no more than a risk-free rate of return for the funding itself. The guidance and examples are not limited to "cash box" companies investing in intangible assets, but apply equally to investments in other assets.

In conclusion, the Organization for Economic Co-operation and Development plays a central and indispensable role in shaping and strengthening transfer pricing risk management in international transactions. By developing globally accepted principles for risk identification, control, and allocation, issuing detailed guidance on economically significant risks, and embedding substance-based analysis into transfer pricing outcomes, the OECD has established a



stable and coherent framework for pricing cross-border related-party transactions.

Through its emphasis on alignment between risk, decision-making, and value creation, enhanced transparency through documentation standards, mechanisms for preventing double taxation, and strong international cooperation, the OECD has transformed transfer pricing from a formal pricing exercise into a risk-focused governance discipline. These efforts not only facilitate global trade and investment but also strengthen the integrity, credibility, and long-term sustainability of the international tax system.

Indian transfer pricing law treats risk management as a core compliance and governance function, not merely an audit outcome. A combination of statutory provisions, administrative mechanisms, and judicial principles operate together to identify, mitigate, and manage TP risk in India.

Below are the key TP risk management tools embedded in Indian TP laws, explained from a practical and policy-oriented perspective?

1. Arm's Length Principle and FAR Analysis (Core Risk Tool)

The foundation of TP risk management in India is the arm's length principle under Chapter X of the Income-tax Act, 1961, supported by a detailed Functional, Asset and Risk (FAR) analysis.

- FAR analysis identifies:
 - o Functions actually performed
 - o Assets employed
 - o Risks assumed and controlled
- Misalignment between FAR profile and pricing outcomes is treated as a primary TP risk indicator
- Indian authorities place strong emphasis on actual conduct over contractual descriptions

This tool addresses risk at the transaction-design stage itself.

2. Prescribed Transfer Pricing Methods and Comparability Analysis

Indian law prescribes specific TP methods (CUP, RPM, CPM, TNMM, PSM, and other methods), each designed to manage risk by ensuring objective benchmarking.

- Selection of the Most Appropriate Method (MAM) is itself a risk-control exercise
- Comparability analysis filters out non-comparable risks
- Inappropriate method selection is often viewed as a systemic TP risk



Risk adjustments may be permitted—but only where robust, quantifiable evidence is provided.

3. Transfer Pricing Documentation (Local File, Master File, CbCR)

Documentation requirements under Rules 10D, 10DA, and 10DB are preventive risk-management tools, not mere compliance formalities.

- Local File: Demonstrates transaction-level risk alignment through FAR and benchmarking
- Master File: Ensures global consistency of risk, value creation, and profit allocation
- Country-by-Country Reporting (CbCR): Enables macro-level risk detection by tax authorities

Inconsistencies across these documents are treated as strong audit triggers in India.

4. Advance Pricing Agreements (APAs)

APAs are among the most powerful TP risk management tools in India.

Discussed in detail under chapter-4

5. Safe Harbour Rules

India's Safe Harbour Rules provide predetermined margins for specified transactions.

Discussed in detail under chapter-5

6. Thin Capitalization Rules (Section 94B)

Thin capitalization rules act as a structural risk-control tool for financing transactions.

Discussed in detail under chapter-6

7. Secondary Adjustment Provisions

Secondary adjustment rules require excess profits arising from TP adjustments to be repatriated or treated as deemed advances.

- Prevent long-term parking of profits offshore
- Address residual profit-shifting risk
- Strengthen enforcement credibility



They ensure that TP adjustments have economic consequences, not just tax computations.

8. Penalty and Compliance Framework

India uses penalties as behavioral risk management tools, including:

- Penalties for non-maintenance or incorrect documentation
- Penalties for under-reporting or misreporting income

This incentivizes early compliance and accurate risk disclosure.

9. Dispute Resolution and Cooperative Tools

India supports dispute prevention and resolution through:

- i. Mutual Agreement Procedure (MAP) under tax treaties

Discussed in detail under chapter-7

- ii. Dispute Resolution Panel (DRP) mechanism

These tools manage post-adjustment risk, especially double taxation risk.

Indian transfer pricing risk management relies on a layered framework—combining pricing rules, documentation, financial controls, advance certainty mechanisms, and judicial oversight—to identify, prevent, and resolve TP risk throughout the transaction lifecycle.

1. Introduction

The traditional transfer pricing regime, which relies heavily on **post-facto audits and assessments**, has inherent limitations. Adjustments are often made several years after transactions occur, leading to cascading disputes, interest and penalty exposure, and frequent instances of economic double taxation. Recognizing these challenges, India introduced the **Advance Pricing Agreement (APA) programme** as a forward-looking mechanism designed to prevent disputes rather than resolve them after they arise.

The APA programme represents a fundamental shift in tax administration philosophy—from adversarial enforcement to **certainty, predictability, and cooperative compliance**. It enables taxpayers and tax authorities to agree in advance on transfer pricing methodologies and parameters, thereby providing clarity and stability over multiple years.

2. Concept and Objectives of the APA Programme

An Advance Pricing Agreement is a formal, binding arrangement between a taxpayer and the tax administration that determines, in advance, the arm's length price or the manner of determining such price for specified international transactions over a defined period. Unlike conventional audits, which focus on correcting past pricing outcomes, APAs focus on **establishing acceptable pricing methodologies prospectively**.

The core objectives of the APA programme include:

- Providing **certainty and predictability** to taxpayers with respect to transfer pricing outcomes
- Minimising disputes and reducing litigation burden on courts and tax authorities
- Eliminating or mitigating **economic double taxation**, especially in cross-border transactions
- Encouraging **voluntary compliance and transparency**
- Aligning India's transfer pricing regime with internationally accepted best practices



APAs also promote a deeper understanding of business models by tax authorities, as the process involves extensive dialogue, fact-finding, and economic analysis. This collaborative engagement fosters trust and reduces adversarial interactions.

3. Evolution of the APA Regime in India

The Indian APA programme was introduced through the insertion of **Sections 92CC and 92CD** into the Income-tax Act, 1961. These provisions provided statutory backing for APAs and established their binding nature and implementation mechanism.

Subsequently, detailed procedural rules were notified through **Rules 10F to 10T of the Income-tax Rules, 1962**, creating a comprehensive and self-contained framework governing the APA lifecycle—from application to execution, compliance, revision, and cancellation.

Over time, the programme has evolved significantly in scope and sophistication. Initially, APAs were perceived as complex and resource-intensive, but increasing familiarity among taxpayers and the administration has led to improved efficiency and predictability. Today, India is regarded as one of the most active APA jurisdictions globally, both in terms of the number of agreements concluded and the diversity of transactions covered.

The programme is administered by the **Central Board of Direct Taxes (CBDT)** through a specialized APA team, reflecting institutional commitment to the certainty-based approach.

4. Legal Framework Governing APAs

4.1 Statutory Provisions

The statutory foundation of the APA regime lies in:

- **Section 92CC**, which authorizes the tax administration to enter into APAs, defines their scope, binding nature, duration, and conditions, and provides safeguards against misuse
- **Section 92CD**, which prescribes the mechanism for giving effect to APAs through modified returns and assessment adjustments

These provisions elevate APAs from administrative arrangements to **legally enforceable instruments**, ensuring certainty for both parties.

4.2 Rules 10F to 10T – Procedural Framework

Rules 10F to 10T operationalize the APA provisions by laying down



detailed procedures relating to:

- Definitions and scope of APAs
- Filing, processing, and evaluation of APA applications
- Pre-filing consultation mechanism
- Rollback provisions and their limitations
- Terms, duration, and compliance obligations
- Revision, cancellation, and binding effect of APAs

This detailed framework ensures procedural clarity and transparency while balancing taxpayer certainty with revenue protection.

5. Types of Advance Pricing Agreements

5.1 Unilateral APAs

Unilateral APAs are entered into between the taxpayer and the Indian tax authorities. They provide certainty in India but do not bind the tax administration of the counterparty jurisdiction. While easier and faster to conclude, unilateral APAs may not fully eliminate the risk of double taxation.

5.2 Bilateral APAs

Bilateral APAs involve the tax administrations of two countries and are negotiated through the Competent Authority mechanism under applicable tax treaties. These agreements ensure consistency of transfer pricing treatment across jurisdictions and eliminate double taxation, making them particularly attractive for complex cross-border transactions.

5.3 Multilateral APAs

Multilateral APAs involve more than two tax jurisdictions and are typically used for highly integrated global value chains. While offering the highest level of certainty, they are procedurally complex and time-intensive, requiring coordination among multiple tax authorities.

6. Scope of Transactions Covered under APAs

The Indian APA program allows coverage of a wide range of international transactions, including:

- Provision of intra-group services
- Manufacturing and distribution arrangements
- Use or transfer of intangibles and royalty payments



- Financial transactions such as loans, guarantees, and treasury operations

The program also permits **rollback of APAs** to prior years, subject to conditions, thereby resolving pending disputes and ensuring consistency across time.

7. APA Process and Lifecycle

7.1 Pre-filing Consultation

Pre-filing consultation is an optional, non-binding stage that allows taxpayers to assess the feasibility, scope, and expectations of an APA before filing a formal application. It promotes informed decision-making and efficient resource allocation.

7.2 Filing of APA Application

The APA application is a detailed submission requiring comprehensive disclosures, including business and industry overview, FAR analysis, economic analysis, and proposed transfer pricing methodology. The depth of information ensures that negotiations are based on a clear understanding of economic reality.

7.3 Evaluation and Negotiation

The APA authorities conduct a rigorous evaluation involving meetings, site visits, and detailed economic review. In bilateral and multilateral APAs, negotiations take place between Competent Authorities to arrive at a mutually acceptable outcome.

7.4 Execution of APA

Once agreed, the APA is formally executed and becomes binding on both parties for the specified period, subject to compliance and stability of critical assumptions.

7.5 Annual Compliance and Monitoring

Taxpayers must file an **Annual Compliance Report (ACR)** each year, demonstrating adherence to the agreed terms. This ensures continuous monitoring and sustains the validity of the APA.

8. FAR Analysis and Economic Basis of APAs

A robust APA is founded on a detailed **Functional, Asset and Risk (FAR) analysis**, which establishes economic characterization, and a sound **economic analysis**, which determines the appropriate transfer pricing method, PLI, and arm's length range.



Consistency between FAR, industry conditions, and pricing outcomes is critical to the credibility and sustainability of an APA.

9. Binding Effect, Revision, and Cancellation

An APA is binding on both the taxpayer and tax authorities, subject to no change in law or facts. The agreement may be revised prospectively in case of changes in critical assumptions or cancelled in cases of non-compliance, fraud, or misrepresentation. This conditional binding nature ensures flexibility while preserving certainty.

10. Benefits of the APA Programme

For taxpayers, APAs provide long-term certainty, reduced litigation, lower compliance costs over time, and improved relationships with tax authorities. For the administration, APAs promote efficient resource allocation, voluntary compliance, and reduction in dispute backlog.

12. Challenges and Limitations

Despite their benefits, APAs involve significant preparation, detailed disclosures, and time investment. They may not be suitable for short-term or highly volatile transactions. Careful cost-benefit analysis is therefore essential.

13. International Alignment and OECD Perspective

India's APA programme is aligned with international best practices recommended by the **Organization for Economic Co-operation and Development (OECD)**, particularly in relation to dispute prevention, risk analysis, and value creation.

14. Future Outlook of the APA Programme

With increasing digitalization, BEPS 2.0 developments, and emphasis on cooperative compliance, APAs are expected to play an even more central role in India's international tax policy. Streamlining procedures and expanding bilateral coverage will further strengthen the programme.

15. Conclusion

The Advance Pricing Agreement programme represents one of the most significant reforms in India's transfer pricing regime. By shifting the focus from dispute resolution to **dispute prevention**, APAs enhance certainty, transparency, and trust. When appropriately structured and implemented, APAs function not merely as compliance tools but as **strategic risk management instruments**, making them a cornerstone of modern international tax administration in India.

Safe Harbour Rules in transfer pricing are a set of prescribed provisions that provide **certainty and simplicity** to taxpayers by specifying circumstances under which transfer prices declared by them are automatically accepted by the tax authorities. The Safe Harbour Rules aim to reduce prolonged litigation and administrative burden arising from transfer pricing disputes. Under these rules, if an eligible assessee opts for safe harbour and complies with the prescribed conditions and margins, the transfer price declared is deemed to be at arm's length, thereby avoiding detailed scrutiny.

The Safe Harbour regime is particularly beneficial for routine and low-risk transactions, as it offers a predictable tax outcome while allowing both taxpayers and tax authorities to focus their resources on more complex transfer pricing cases.

The UN TP manual defines Safe Harbour as-

"A provision in the tax laws, regulations or guidelines stating that transactions falling within a certain range will be accepted by the tax authorities without further investigation."

Determination of Arm's Length Price is often time-consuming, burdensome and costly, considering an Associated Enterprise has a variety of intra-group transactions. Further, there have been many litigations on TP issues. Hence, SH Rules provide certainty to taxpayers by ensuring that tax authorities will accept the price charged or paid by taxpayers with a limited scope of verification.

Safe Harbour Rules (SHR) are a set of provisions under Indian transfer pricing regulations that provide a simplified compliance regime to eligible taxpayers in respect of specified international transactions. Under section 92C of the Income-tax Act, 1961, the transfer price of an international transaction must be determined at the arm's length price (ALP). However, this principle has given rise to significant disputes and litigation due to complexities in comparability analysis and benchmarking. To mitigate these issues, the Finance Act, 2009 inserted section 92CB, empowering the Central Board of Direct Taxes (CBDT) to formulate Safe Harbour Rules. Under these rules, where a taxpayer adheres to specified pricing margins or conditions, the



transfer price declared is accepted by the tax authorities without further scrutiny. SHR were introduced through Rules 10TA to 10TG of the Income-tax Rules, 1962, and are intended to provide certainty and reduce prolonged litigation in transfer pricing matters.

2. Rationale for Introducing Safe Harbour Rules

The introduction of Safe Harbour Rules was driven by multiple practical and policy considerations:

1. **Complexity in Determining Arm's Length Price:** Determining ALP through traditional benchmarking methods often involves challenges in finding reliable comparables, especially for service providers and low-value-adding transactions.
2. **High Litigation Levels:** A significant increase in transfer pricing adjustments under section 92C led to a commensurate rise in litigation and disputes between taxpayers and tax authorities.
3. **Uncertainty in Specific Sectors:** There was considerable ambiguity in applying ALP in sectors such as IT and IT-enabled services, knowledge process outsourcing (KPO), and certain low-value-adding services, where functional and risk profiles vary widely.
4. **Compliance Burden:** Smaller taxpayers and those engaged in routine transactions faced disproportionate compliance costs relative to the tax exposure.

Safe Harbour Rules were therefore introduced as an optional and predictable alternative to detailed transfer pricing analysis, facilitating ease of compliance and reducing disputes.

3. Statutory Framework and Legal Basis

The legal foundation for Safe Harbour in India lies in:

- **Section 92CB** of the Income-tax Act, 1961 – empowers CBDT to notify SHR.
- **Rules 10TA to 10TG** of the Income-tax Rules, 1962 – contain detailed provisions on eligibility, eligible transactions, prescribed margins, and procedural aspects.
- **Form 3CEFA** – the form to be filed by an eligible taxpayer opting for Safe Harbour.



The rules specify circumstances under which the transfer price declared by the taxpayer shall be accepted as arm's length, replacing the need for an in-depth transactional analysis as per section 92C.

4. Eligible Assesseees and Transactions

Eligible Assessee

An **eligible assessee** is a person who undertakes specified international transactions and has validly opted for the Safe Harbour regime by filing the required declaration in **Form 3CEFA** within the prescribed time limit.

Eligible International Transactions

Under Rule 10TC of the Income-tax Rules, the following categories of international transactions may qualify for Safe Harbour treatment:

- (i) provision of software development services;
- (ii) provision of information technology enabled services;
- (iii) provision of knowledge process outsourcing services;
- (iv) advance of intra-group loan;
- (v) provision of corporate guarantee, where the amount guaranteed,—
 - (a) Does not exceed one hundred crore rupees; or
 - (b) exceeds one hundred crore rupees, and the credit rating of the associated enterprise, done by an agency registered with the Securities and Exchange Board of India, is of the adequate to highest safety;
- (vi) provision of contract research and development services wholly or partly relating to generic pharmaceutical drugs;
- (vii) provision of contract research and development services wholly or partly relating to software development;
- (viii) manufacture and export of core auto components;
- (ix) manufacture and export of non-core auto components
- (x) receipt of low value-adding intra-group services from one or more members of its group,]

The scope and limits of eligible transactions have been periodically expanded by the CBDT.



5. Prescribed Margins and Conditions

For each category of eligible transaction, the rules prescribe **specific pricing conditions** and **minimum margins** which, if complied with, ensure acceptance of transfer pricing:

- **Software and IT/ITES Services:** Operating profit margin relative to operating cost must be at or above specified thresholds (e.g., 17–22% based on transaction value).
- **Knowledge Process Outsourcing (KPO):** Higher minimum margins based on the nature of services.
- **Intra-Group Loans:** Minimum interest rate thresholds over benchmark rates (e.g., SBI base rate plus specified basis points).
- **Corporate Guarantees:** Prescribed minimum commission rates.
- **Contract R&D Services:** Minimum operating margins for R&D services in software/pharma.
- **Auto Components:** Different minimum margins for core and non-core components.

These prescribed margins act as **safe zones** where specific pricing is deemed to align with the arm's length principle.

6. Binding Nature and Operational Mechanism

Once an eligible taxpayer:

1. **Files Form 3CEFA** within the prescribed timeline,
2. **Complies with the specified SHR conditions**, and
3. Ensures transactions fall within the eligible thresholds,

Then the transfer price declared is deemed to be at arm's length and accepted by tax authorities without further inquiry, provided the option is validly exercised.

The Safe Harbour option remains valid for a specific period (often a block of years) as prescribed in the rules. Importantly, once SHR is elected for a transaction, the taxpayer cannot invoke the Mutual Agreement Procedure (MAP) under a double tax avoidance agreement for such transactions unless the Safe Harbour option is invalidated.

7. Advantages of Safe Harbour Rules

The SHR offer several benefits:

- **Certainty and Predictability:** Taxpayers know in advance that



declared transfer prices will not be challenged if they meet SHR conditions.

- **Reduced Litigation:** The acceptance of Safe Harbour prices helps lower transfer pricing disputes and contentious assessments.
- **Lower Compliance Burden:** Routine transactions become simpler to administer without exhaustive benchmarking studies.
- **Ease of Administration:** Enables efficient allocation of tax authority resources toward complex and high-risk cases.
- **Enhanced Business Environment:** Predictability enhances ease of doing business and attractiveness for multinational enterprises.

8. Limitations and Criticisms

Despite their merits, SHR have certain limitations:

- **High Prescribed Margins:** In some cases, prescribed margins are perceived as higher than actual industry margins, making the regime less attractive.
- **Restricted Applicability:** SHR cover only specific types of transactions and may not apply to complex or unique arrangements.
- **No Relief on Documentation:** Taxpayers must still maintain comprehensive transfer pricing documentation even when opting for SHR.
- **Risk of Double Outcomes:** Different tax jurisdictions may view Safe Harbour differently, potentially leading to **double taxation or double non-taxation**.

9. Recent Amendments Following Budget 2025

In the Union Budget 2025, the Government reiterated the intention to expand the scope of SHR to provide greater certainty in international taxation and reduce litigation. The Finance Minister's speech specifically mentioned the expansion of Safe Harbour provisions as part of a broader effort to align India's transfer pricing framework with global best practices.

Following this, the **CBDT issued Notification No. 21/2025 dated 25 March 2025**, bringing several key changes:

1. **Extension of Applicable Years:** SHR applicability has been **extended to AY 2025-26 and AY 2026-27**, covering FY 2024-25 and FY 2025-26.



2. **Increased Threshold for International Transactions:** The upper limit value for eligible international transactions (such as software, IT/ITES, KPO) has been **raised from ₹200 crore to ₹300 crore**, thereby widening the coverage.
3. **Inclusion of Lithium-Ion Batteries:** The definition of “core auto components” under Rule 10TA has been expanded to include **lithium-ion batteries for use in electric or hybrid electric vehicles**, reflecting policy support for the EV ecosystem.
4. **Validity and Filing Mechanism:** Amendments clarify that the SHR option exercised under Rule 10TD (3B) remains valid for one assessment year and requires annual filing of Form 3CEFA.

These changes underscore the Government’s intent to make SHR more **inclusive and business-friendly**, while maintaining appropriate compliance safeguards.

10. Interaction with Other Transfer Pricing Mechanisms

Safe Harbour Rules operate alongside other dispute prevention tools:

- **Advance Pricing Agreements (APA):** Provide certainty through pre-agreement of transfer pricing methods between the taxpayer and tax authorities, including bilateral and multilateral instruments.
- **Mutual Agreement Procedure (MAP):** Offers relief on double taxation, but is **not available for transactions already accepted under SHR** unless SHR is invalidated.

The existence of multiple mechanisms helps provide layered risk management options to taxpayers.

The Safe Harbour regime remains a foundation of India’s transfer pricing landscape, aimed at reducing disputes, simplifying compliance, and enhancing certainty in international transactions. With ongoing expansions in coverage, thresholds, and alignment with broader transfer pricing reforms announced in Budget 2025, SHR continues to evolve as a critical option for eligible taxpayers. The recent amendments, including broadened transaction limits and inclusion of emerging industries such as electric vehicle components, demonstrate a clear policy direction toward making the SHR more relevant, practical, and aligned with India’s economic goals.

Thin capitalization refers to a situation where a company is financed with a disproportionately high level of debt compared to equity, particularly debt from related parties, rather than through adequate equity capital. In such structures, the company is said to be “thinly capitalized” because its equity base is relatively small in comparison to its borrowings.

From a transfer pricing and international tax perspective, thin capitalization is significant because interest on debt is generally tax-deductible, while dividends on equity are not. Multinational enterprise (MNE) groups may therefore deliberately finance subsidiaries in high-tax jurisdictions with excessive debt—often from associated enterprises located in low-tax jurisdictions—to shift profits out of the source country through interest payments.

In thin capitalization structures:

- The quantum of debt, rather than the interest rate alone, becomes the primary concern
- Financing may not reflect what an independent enterprise would accept under similar circumstances
- The entity may lack the financial capacity to bear the level of debt imposed on it

As a result, thin capitalization is treated as a base erosion and transfer pricing risk, prompting many countries, including India, to introduce thin capitalization or interest limitation rules. These rules restrict the deductibility of interest beyond specified thresholds, ensuring that capital structures reflect economic substance, commercial reality, and arm's length behavior, rather than tax-driven profit shifting.

In essence:

Thin capitalization is the use of excessive debt—often related-party debt—in place of equity to reduce taxable profits through interest deductions.



Role of Thin Capitalization in Transfer Pricing Risk Management

1. Containing Base Erosion Through Excessive Interest Deductions

Thin capitalization rules play a central role in transfer pricing (TP) risk management by addressing one of the most structurally dangerous avenues of profit shifting—excessive related-party debt. Inter-company financing allows multinational enterprises to extract profits through interest payments that are tax-deductible, scalable, and often detached from operational substance. From a risk management perspective, this makes financing transactions inherently high-risk. Thin capitalization rules act as a protective mechanism by limiting interest deductions to levels that reflect the entity's real economic activity and earning capacity, thereby safeguarding the tax base.

2. Complementing the Arm's Length Principle

Traditional transfer pricing analysis focuses on whether the interest rate and terms of a loan are arm's length, but it does not adequately address whether the quantum of debt itself is commercially justified. Even where pricing is arm's length, excessive leverage can still result in significant base erosion. Thin capitalization rules bridge this gap by imposing objective ceilings on interest deductibility, ensuring that compliance with arm's length pricing does not automatically translate into unchecked profit shifting. In this way, they function as a second line of defense within the TP risk framework.

3. Aligning Financial Risk with Economic Capacity

Excessive debt often signals a misalignment between financial risk and the entity's capacity to bear that risk. Thinly capitalized entities may lack the ability to absorb losses or service debt independently, indicating artificial risk allocation within the group. Thin capitalization rules reinforce the principle that risk must follow financial capacity, preventing structures in which entrepreneurial returns are extracted through interest payments while operational risks remain in the source jurisdiction.

4. Neutralizing Cash Box and Conduit Financing Structures

Thin capitalization rules are particularly effective in curbing the use of cash box and conduit entities that provide funding without corresponding control over financial risk or economic substance. By capping interest deductions, these rules ensure that capital alone does



not justify disproportionate returns. This aligns financing outcomes with substance and risk control, reducing the incentive to use related-party financing as a profit extraction tool in low-substance jurisdictions.

5. Enhancing Predictability and Systemic TP Risk Management

From an administrative and governance perspective, thin capitalization rules enhance predictability, audit efficiency, and systemic risk management. Clear, mechanical thresholds reduce subjective disputes over excessive leverage and allow tax authorities to focus on higher-order transfer pricing risks. When integrated with arm's length pricing rules, BEPS Action 4 principles, and broader anti-avoidance measures, thin capitalization rules transform related-party financing from a persistent TP risk into a regulated, capacity-based activity, thereby strengthening the overall integrity of the transfer pricing system.

Mutual Agreement Procedure (MAP)

1. Background and Purpose of MAP Guidance

India has an extensive network of **Double Taxation Avoidance Agreements (DTAAs)** with various countries. These tax treaties allocate taxing rights between treaty partners, provide mechanisms for avoidance of juridical and economic double taxation, and establish procedures for resolving disputes arising from taxation not in accordance with treaty provisions. One of the most important dispute resolution mechanisms provided under these treaties is the **Mutual Agreement Procedure (MAP)**.

Rule 44G of the Income-tax Rules, 1962 was notified on 6 May 2020, replacing the earlier Rules 44G and 44H. The revised rule lays down a comprehensive framework governing the initiation, processing, negotiation, resolution, and implementation of MAP cases in India. The rule applies to all MAP cases pending as on 6 May 2020 and to cases filed thereafter.

In line with the recommendations of **BEPS Action 14 (Making Dispute Resolution More Effective)**, which mandates that countries publish clear and comprehensive MAP guidance, the CBDT issued this detailed guidance to provide clarity to taxpayers, tax practitioners, field officers, and competent authorities (CAs).

2. Structure of the MAP Guidance

The MAP Guidance is divided into four distinct parts:

- **Part A** – Introduction and Basic Information
- **Part B** – Access to and Denial of Access to MAP
- **Part C** – Technical Issues in MAP
- **Part D** – Implementation of MAP Outcomes

Each part addresses a specific stage of the MAP lifecycle, from initiation to final implementation.



PART A: INTRODUCTION AND BASIC INFORMATION

3. Meaning and Scope of Mutual Agreement Procedure

The Mutual Agreement Procedure (MAP) is an alternate dispute resolution mechanism available under tax treaties for resolving cases of double taxation or taxation not in accordance with treaty provisions. MAP can provide full or partial relief from double taxation and operates independently of domestic appellate remedies.

A taxpayer may invoke MAP irrespective of whether domestic remedies under Indian tax law have been pursued. MAP involves negotiations between the competent authorities of the treaty partners, with the objective of resolving international tax disputes through mutual agreement.

India has designated two Competent Authorities for MAP matters—senior officers in the Department of Revenue—each having jurisdiction based on the location of the treaty partner. These authorities function independently of field tax officers and operate within an internal governance framework of CBDT.

MAP cases typically involve:

- Juridical double taxation, where the same income is taxed twice in the hands of the same taxpayer in two jurisdictions; or
- Economic double taxation, where the same income is taxed in the hands of two associated enterprises in different jurisdictions.

4. Situations Giving Rise to MAP

Double taxation or treaty-inconsistent taxation may arise in several circumstances, including:

- **Transfer pricing adjustments**
- **Determination of the existence of a Permanent Establishment (PE)**
- **Attribution of profits to a PE**
- **Characterization or re-characterization of income or expenses**

5. India's Tax Treaty Network

India's DTAA's are largely based on Article 25 of the OECD/UN Model Tax



Convention, which provides the legal basis for MAP. These treaties, read with sections 90 and 90A of the Income-tax Act, empower taxpayers to approach the competent authority of their country of residence.

In most Indian treaties, the time limit for filing a MAP application is **three years** from the first notification of the action giving rise to double taxation. India is committed to aligning all treaties to this standard through the Multilateral Instrument (MLI) or bilateral renegotiations.

6. Filing a MAP Application in India

A taxpayer resident in India can make an application to the CA of India having jurisdiction over the case (depending on the location of treaty partner) if it considers that the actions of the tax authorities of the treaty partner resulted or will result in taxation not in accordance with the relevant tax treaty.

Application has to be made in Form No. 34F in accordance with rule 44G. The relevant provision of the rule is as follows:

'44G (1): Where an assessee, being a resident of India, is aggrieved by any action of the tax authorities of any country or specified territory outside India for the reason that, according to him, such action is not in accordance with the terms of agreement with such other country or specified territory, he may make an application to the Competent Authority in India seeking to invoke the mutual agreement procedure, if provided in such agreement, in Form No. 34F.'

The following information and details are required to be provided in Form No. 34F while making a MAP application to the CAs of India:

- a) Name of the Applicant;
- b) Permanent Account Number (PAN)/Aadhar Number;
- c) Circle/Ward;
- d) Assessment Year(s);
- e) Previous Year(s);
- f) Office Address& Telephone Number;
- g) Residential Address& Telephone Number (if applicable);
- h) Status;
- i) Name and Designation of Tax Authority in the other country or



specified territory (Treaty Partner);

- j) Date of the notice or order giving rise to the action;
- k) Is the order/action of the Tax Authority of the Treaty Partner not in accordance with the agreement? If so, the reasons thereof; and
- l) Details of remedy sought in the other country or specified territory, if any, with documentary evidence.

Form No. 34F also requires information about the name of the country or specified territory, the action of the tax authorities of which have aggrieved the Applicant. In item (k) above, the Applicant should provide the facts of the case; the analysis of issue(s) that are sought to be resolved under the MAP; and the reasons why the action taken by the tax authorities are not in accordance with the relevant DTAA's.

In addition to the above information and details, Form No. 34F requires the following documents to be furnished at the time of making the application:

- I. Copy of notice or order giving rise to the action not in accordance with the relevant DTAA's;
- II. Any document(s) as support for considering the order/action of the tax authorities of the treaty partners to be not in accordance with the relevant DTAA's;
- III. Any document(s) as evidence of remedy sought in the other country or specified territory; and
- IV. Any other document that the applicant may want to submit or the CAs of India may ask for.

7. Competent Authority Jurisdiction

India has two competent authorities:

- **FT&TR-I** – For cases involving Europe and North America
- **FT&TR-II** – For all other countries

MAP applications must be filed with the appropriate authority based on treaty partner location.

8. MAP Process and Negotiation

Once a MAP application is accepted by the CA of India having jurisdiction over the case, CA shall intimate the CA of the relevant treaty partner



about such acceptance through a written communication (notification or invocation letter). In such written communication, she would also briefly indicate why she feels that the action of the tax authorities of the treaty partner results or will result in taxation not in accordance with the relevant DTAA. She would also request the CA of the treaty partner to provide her written position (position paper) on the order/action of the tax authorities of her country.

If a MAP application is found to be not acceptable by the CA of India having jurisdiction over the case, she shall write to the CA of the relevant treaty partner informing her about the reasons for which the MAP application cannot be accepted and request the latter to send her views/comments on the same (notification and bilateral consultation). Once the CAs of both treaty partners have exchanged views and come to a common understanding, the decision on the MAP application shall be communicated by the CA of India having jurisdiction over the case to the Indian taxpayer who had made the MAP application.

As has been indicated above, once a MAP application is accepted, the CAs shall exchange views. In most cases, the views shall be communicated through position papers. Once a position paper is received from the other CA, the CA of India having jurisdiction over the case would examine the same and come to a negotiating position. She may also provide her own written comments to the other CA or ask for further clarification from her. After exchange of positions and comments, both the CAs would try and negotiate a resolution to the dispute at hand. They may meet in person or negotiate remotely through teleconference, video conference, or email.

If both the CAs successfully resolve a MAP case, they would formalize a mutual agreement amongst themselves at the earliest possible. The CA of India having jurisdiction over the case would intimate the Indian taxpayer who had applied for MAP about the terms and conditions of the resolution. Acceptance or rejection of the MAP resolution is the prerogative of the Indian taxpayer but in either situation, the MAP case would be closed by both the CAs as resolved.

If both the CAs are unable to resolve a MAP case, they would close the MAP case as unresolved. The CA of India having jurisdiction over the case shall inform the Indian taxpayer about the non-resolution of the dispute.



In a reverse situation, where the MAP application has been accepted by the CAs of treaty partners, some of the processes described above would flow in the reverse direction.

In addition to the above bilateral MAP process, in appropriate cases, the CAs of India can participate in multilateral MAP discussions with more than one treaty partner. Multilateral MAP cases shall involve all the above processes (like exchange of position papers, negotiations, finalization of mutual agreements, etc.) on a multilateral basis amongst the CAs concerned. However, a multilateral MAP case shall be executed in the form of a series of parallel bilateral MAP cases. The CAs of India can agree to accept a multilateral MAP request if all the following conditions are fulfilled:

- All the participating countries or specified territories have DTAA's with each other;
- The transaction or issue in dispute has a bearing on all the treaty partners, directly or indirectly, and non-resolution of the dispute would result in taxation not in accordance with the relevant DTAA's; and
- The CAs of all the participating countries

Once a MAP application is accepted:

- The Indian CA notifies the foreign CA
- Position papers are exchanged
- Negotiations take place through meetings or electronic communication

If an agreement is reached, the taxpayer is informed and may accept or reject the resolution. If no agreement is reached, the case is closed as unresolved.

India may also participate in **multilateral MAPs**, which operate through parallel bilateral negotiations.

9. Timelines for MAP Resolution

India endeavors to resolve MAP cases within an **average timeframe of 24 months**, consistent with BEPS Action 14 standards. The timeframe is calculated from the internationally recognized "start date" of the MAP case.



PART B: ACCESS TO AND DENIAL OF ACCESS TO MAP

10. Access to MAP

India provides wide and easy access to MAP to Indian taxpayers if they are aggrieved by an order/action of tax authorities of other countries or specified territories (treaty partners) and such orders/actions in the opinion of the taxpayer results or will result in taxation not in accordance with the relevant DTAA's. The procedure for making an application has been discussed in Part A and the details can be seen in rule 44G of the Income-tax Rules, 1962.

India also provides wide and easy access to MAP when the CAs of other countries or specified territories (treaty partners) accept a MAP application from their taxpayers and then notify the CAs of India about their acceptance. These MAP cases may arise from the order/action of tax authorities of India or of the treaty partners that in the opinion of the overseas taxpayer results or will result in taxation not in accordance with the relevant DTAA's.

India shall provide access to MAP in respect of, inter-alia, the following types of cases/situations if they result in taxation not in accordance with the relevant DTAA's:

- a) Transfer Pricing adjustments;**
- b) Determination of existence of a Permanent Establishment;**
- c) Attribution of profits to Permanent Establishments, whether admitted or not by the taxpayer;**
- d) Characterization or re-characterization of an item of expense or payment as a taxable expense or payment (like Royalty or Fee for Technical Services (FTS) or Interest); and**
- e) Characterization or re-characterization of an item of receipt as a taxable income (like Royalty or Fee for Technical Services (FTS) or Interest).**

India shall provide access to MAP even in a situation where the Indian tax authorities apply domestic anti-abuse provisions.

In certain situations, where obligation to deduct tax at source on the payment made by an Indian entity to a non-resident entity is enforced by an order passed under section 201 of the Income-tax Act, 1961



and the same is disputed by the non-resident entity, MAP access will be provided to such non-resident entity anticipating an event of double taxation or taxation not in accordance with the relevant DTAA. However, such action being purely under the domestic law and the order under section 201 not being an order determining any tax on income, the MAP discussion will be taken up only after the assessment order is passed in the case of the non-resident taxpayer, and such non-resident taxpayer considers that the assessment order results or would result in taxation not in accordance with the relevant DTAA.

There are a few circumstances where India would provide access to MAP but the CAs of India would not negotiate any other outcome than what has already been achieved in such circumstances. The circumstances are the following:

- a) **Unilateral Advance Pricing Agreements** – Where an Indian or foreign taxpayer enters into a unilateral Advance Pricing Agreement ('**UAPA**', **hereinafter**) with the Central Board of Direct Taxes (CBDT), the CAs of the other countries or specified territories may accept MAP applications from their taxpayers in respect of such UAPAs if any decision of the tax authorities of such other countries disturbs the income declared in the returns filed in pursuance of the UAPAs, and notify the CAs of India. The latter would allow access to MAP but would not change the terms and conditions of the UAPA. Rather, they would request the CAs of the treaty partners to provide correlative relief.

In respect of UAPA applications under consideration and negotiation, actions of tax authorities in India or overseas during such pendency of UAPA applications could give rise to taxation not in accordance with the relevant DTAAs. In such situations, the CAs of India or the CAs of the other countries or specified territories may accept MAP applications from their taxpayers and notify each other. While the CAs of India would allow access to MAP, they would not process such MAP cases till the UAPA is entered into. If the UAPA is entered into, the CAs of India would not change the terms and conditions of the UAPA and would request the CAs of the treaty partners to provide correlative relief. However, if the UAPA is not entered into due to any reason, the CAs of India would start processing such MAP cases, as all other MAP cases.

- b) **Safe Harbour** – Where an Indian or foreign taxpayer applies safe harbour provisions, as applicable on its international transactions,



and the return of income is accepted by the tax authorities of India, the CAs of the other countries or specified territories may accept MAP applications from their taxpayers in respect of any decision of the tax authorities of such other countries if such decision disturbs the returns filed in pursuance of such safe harbour provisions, and notify the CAs of India. The latter would allow access to MAP but would not change the ALP of the international transactions covered under the safe harbour provisions. Rather, they would request the CAs of the treaty partners to provide correlative relief.

- c) **Orders of Income Tax Appellate Tribunal** – Since MAP and domestic remedy proceedings can be availed by the taxpayers simultaneously, there could be instances where the Income Tax Appellate Tribunal ('ITAT') in India passes an order in respect of the same disputes that are also being examined under MAP. Since the ITAT is an independent statutory appellate body, which is outside the administrative jurisdiction of the Indian tax authorities; and is the highest fact-finding body on tax matters, the CAs in India shall not deviate from the orders of the ITAT for the relevant year where the dispute is decided on merits. In such cases the CA of India would request the CAs of the treaty partners to provide correlative relief, if required. Such MAP cases shall be closed as having been resolved by a domestic remedy. However, if the order of the ITAT does not resolve the disputes but only sets them aside to be adjudicated afresh, then access to MAP would be provided again after the fresh adjudication by tax authorities, if requested for by the relevant taxpayers.

11. Special Situations with Restricted Negotiation

In certain cases, MAP access is granted but renegotiation is restricted, such as:

- **Unilateral APAs**
- **Safe Harbour cases**
- **Final ITAT orders on merits**

In these situations, Indian CAs generally seek only **correlative relief** from the treaty partner.



12. Denial of MAP Access

The CAs of India can deny access to MAP in some situations or in certain particular cases. Such situations and particular cases are as follows:

- a) **Delayed MAP Applications** - If the taxpayers make a MAP application to the CAs of India or to the CAs of the treaty partners after the expiry of the time period specified in the Article relating to MAP (corresponding to Article 25(1) second sentence of the OECD Model Tax Convention) of the relevant DTAA's, the CAs of India would not provide access to MAP. This time period in most treaties is within three years from the first notification of the order/action of tax authorities that results or will result in taxation not in accordance with the relevant DTAA's. India is committed to providing this 3-year time period and almost all the DTAA's entered into by India has this time period. There are very few DTAA's where this minimum time period is missing, and efforts are on to amend those DTAA's to provide for the same.
- b) **Taxpayer's Objection Not Justified** – If the CAs of India come to a conclusion that the objection raised by the taxpayer on the action taken by tax authorities is not justified, they can deny access to MAP. However, before taking a decision to deny access to MAP in such situations, the CA of India having jurisdiction over the case would discuss the matter with the taxpayer and the CA of the treaty partner. However, such consultation shall not be interpreted as consultation as to how to resolve the case.
- c) **Incomplete MAP Applications/Documents/Information** – When an Indian taxpayer makes a MAP application in India in Form No. 34F, it is expected to be complete in all respects. If the CAs of India point out some errors or defects in the application or ask for additional information/documents, the Indian taxpayer should remedy the errors/defects and should provide the information/documents within a reasonable time period. There is no prescribed time period in rule 44G for the Indian taxpayer to comply with such additional requirements. Hence, the CAs of India are expected to provide adequate time to the taxpayer to remedy the errors/defects and provide the information/documents. Normally, a time period of 30 days for remedying the errors/defects and 90 days for providing the additional information/documents should be provided by the CAs of India to facilitate the process, which can be extended by the CAs depending on the facts and circumstances of the case.



In respect of MAP applications accepted by the CAs of treaty partners and subsequently notified to the CAs of India and accepted by the latter, rule 44G provides that the CAs of India can call for information/documents from the Indian taxpayers or their representatives. The rule does not prescribe any time limit upon the taxpayers or their representatives to furnish such information/documents. Hence, the CAs of India are expected to provide adequate time to the taxpayers or their representatives to provide the information/documents. Normally a time period of 90 days for providing the additional information/documents should be provided by the CAs of India to facilitate the process, which can be extended by the CAs depending on the facts and circumstances of the case.

- d) **Income-tax Settlement Commission** – Sections 245A to 245L in Chapter XIX-A of the Income-tax Act, 1961 provide for the constitution of a commission called the Income-tax Settlement Commission (**'ITSC', hereinafter**) for the settlement of cases. The ITSC is an independent statutory dispute resolution body. The process of settlement of disputes by ITSC is independent from the audit and examination functions of tax authorities. It is a voluntary process and a taxpayer has to apply for a settlement of its disputes. Once the application is accepted, the ITSC examines all aspects of the dispute and comes out with a settlement order. If the ITSC issues a settlement order, the same is binding on both the taxpayer and the tax authorities. The CAs of India shall not provide access to MAP to an Indian taxpayer who has already obtained a settlement order from the ITSC and such order covers the issues that are sought to be included in the MAP application. Similarly, the CAs of India shall not admit a case under MAP where the CAs of the treaty partners have accepted a MAP application by a taxpayer of their country or specified territory who (or its associated enterprise in India) has already obtained a settlement order from the ITSC and such order covers the issues that have been included in the MAP application accepted by the CAs of the treaty partners.

The CAs of India shall also not provide access to MAP to an Indian taxpayer or admit a case under MAP where the CAs of the treaty partners have accepted a MAP application by a taxpayer of their country or specified territory, if either of such taxpayer's settlement



application has been admitted by the ITSC and the settlement matter is under examination by the ITSC. However, if the ITSC refuses to issue a settlement order, or issues an order without making a settlement, or the proceedings before the ITSC abate, and then the tax authorities take action which in the opinion of the taxpayer results or will result in taxation not in accordance with the relevant DTAAs, the CAs of India shall provide access to MAP to an Indian taxpayer or admit a case under MAP where the CAs of the treaty partners have accepted a MAP application by a taxpayer of their country or specified territory.

- e) **Authority for Advance Rulings**–Sections 245N to 245V in Chapter XIX-B of the Income-tax Act, 1961 provide for the constitution of an authority called the Authority for Advance Rulings (**'AAR', hereinafter**) for giving advance rulings on questions/issues brought before it by a taxpayer. The AAR is an independent statutory dispute prevention body. The process of giving advance rulings by AAR is independent from the audit and examination functions of tax authorities. It is a voluntary process and a taxpayer has to apply for obtaining a ruling. Once the application is admitted, the AAR examines all aspects of the question(s)/issue(s) brought before it and pronounces its advance ruling on such question(s)/issue(s). If the AAR pronounces an advance ruling, the same is binding on both the taxpayer and the tax authorities. The CAs of India shall not provide access to MAP to an Indian taxpayer who has already obtained an advance ruling from the AAR and such advance ruling covers the issues that are sought to be included in the MAP application. Similarly, the CAs of India shall refuse to admit a case under MAP where the CAs of the treaty partners have accepted a MAP application by a taxpayer of their country or specified territory who (or its associated enterprise in India or the relevant party to the transaction on which the advance ruling is sought) has already obtained an advance ruling from the AAR and such advance ruling covers the issues that have been included in the MAP application accepted by the CAs of the treaty partners.

The CAs of India shall also not provide access to MAP to an Indian taxpayer or admit a case under MAP where the CAs of the treaty partners have accepted a MAP application by a taxpayer of their country or specified territory, if either of such taxpayer's application (or that of the relevant party to the transaction on which the advance ruling



is sought) has been admitted by the AAR and the question(s)/issue(s) specified in the application is under examination by the AAR.

In addition to the situations and particular cases at (a) to (e) above, it is clarified **that no MAP access shall be provided in respect of issues that are purely governed by India's domestic law and arise due to the implementation of India's domestic legal provisions.**

PART C: TECHNICAL ISSUES IN MAP

I. Downward Adjustment

The CAs of India can negotiate a MAP case with their counterparts and withdraw all or part of the adjustments made by tax authorities in India. However, the CAs of India cannot go below the returned income, as the same is expressly prohibited in Indian domestic law. In respect of transfer pricing cases, a plain reading of the provisions of sub-section (3) of section 92 of the Income-tax Act, 1961 makes it clear that if the application of the arm's length price of an international transaction results in reducing the income chargeable to tax or increasing the loss, as computed on the basis of books of account maintained, then the provisions of the said section 92 shall not apply. The CAs of India have to adhere to this provision while negotiating transfer pricing MAP cases involving adjustments made by Indian tax authorities. However, in respect of MAP cases involving adjustments made by tax authorities of a treaty partner, the Indian CA may go below the returned income of the Indian taxpayer to implement the MAP in full measure in accordance with treaty obligations.

II. Resolution of Recurring Issues

The CAs of India may resolve recurring issues on the same principles, as adopted in a prior MAP resolution. However, they cannot resolve such recurring issues in advance of an order/action by the tax authorities in India. In other words, they do not have the power to prevent the tax authorities from making an order that is not in conformity with prior MAP resolutions in case of the same taxpayer and on the same issues.



III. Interest and Penalties

In most of the disputes on the quantum of income, that are resolved under MAP, there are consequential issues of interest and penalty. The CAs of India do not have the mandate to consider such consequential issues and negotiate disputes arising from such issues. These are to be administered under the domestic laws. However, where the amount of interest and penalties are linked to the quantum of income, such interest and penalties shall be varied in the same proportion as the variation in the quantum of income due to a MAP resolution, in accordance with the domestic law. It may be noted that there are provisions of fees/penalty under Indian Income-tax Act which are not connected to the quantum of income and, accordingly, those would not be affected by the resolution under MAP.

V. Secondary Adjustments

India has a provision to make secondary adjustments in respect of cases where the primary transfer pricing adjustment has been made in financial year 2016-17 or thereafter. Thus, the CAs of India would be obligated to make such secondary adjustments part of the MAP resolution in respect of cases pertaining to financial year 2016-17 or thereafter.

VI. Bilateral & Multilateral APAs

India has a well-established APA Program that includes unilateral, bilateral and multilateral APAs. In respect of issues for which a bilateral or multilateral APA application has already been filed and accepted, MAP applications on the same issues for the same years should not be made by the taxpayers. If such MAP applications are made either before the CAs of India or the CAs of treaty partners, the CAs of India shall consult with their counterparts and not admit such MAP applications. However, if a bilateral or multilateral APA application fails to result in an Agreement for any reason, then a MAP application on the same issue and for the same years can be made either before the CAs of India or the CAs of treaty partners and the same may be accepted by the CAs of India if it satisfies all conditions of a MAP application.



VII. Suspension of Collection of Taxes during the Pendency of MAP

With a limited number of treaty partners, India has entered into a Memorandum of Understanding (MoU), under the ambit of the MAP Article that provides for keeping the collection of taxes in a case under suspension during the pendency of MAP in that case. The taxes whose collection can be suspended are those that have arisen from the dispute that is under discussion in MAP. Taxpayers have to adhere to the terms and conditions mentioned in the MoU to be able to get the collection of taxes suspended. In respect of MAP cases with countries where no such MoU exists in the DTAAs, the domestic law of India (including Instructions/Circulars issued by CBDT) shall govern the procedures related to suspension of collection of taxes or stay of demand.

VIII. Adjustment of taxes paid in pursuance of demand raised by an order under Section 201 of the Income-tax Act

Payment of taxes (excluding interest) made as a result of demand arising out of an order passed under section 201 of the Income-tax Act on the Indian taxpayer (payer entity) may be allowed to be adjusted against the tax liability of the non-resident taxpayer (payee entity) in the event of resolution of MAP in the case of such non-resident taxpayer for the relevant issues and relevant years.

Indian CAs cannot reduce income below returned income in TP cases involving Indian adjustments due to section 92(3). However, downward adjustments are permitted where foreign authorities made the adjustment.

PART D: IMPLEMENTATION OF MAP OUTCOMES

1. Implementation of MAP

India is committed to implementing MAP outcomes in each and every case. There are no legal or administrative impediments to implementing MAP outcomes. The only exception to this general rule is MAP cases in which an order of the ITAT (for the same assessment year that has been resolved under MAP) comes to the knowledge of the CAs of India after the MAP has been resolved or is pronounced after the MAP



has been resolved but not yet implemented. In respect of the above cases/situations, the MAP outcomes cannot be implemented and the CAs of India would inform their counterparts about the outcomes of the ITAT order and request them to provide correlative relief for the adjustments sustained by the ITAT, if any.

2. Implementation Timelines

The new rule 44G, which has been discussed earlier, provides clear timelines for the taxpayer and the tax authorities in India to implement a MAP that has been resolved by the CAs of both treaty partners. The taxpayer has been provided a time period of 30 days (from the date of receipt of a communication from the CAs of India) to convey its acceptance of the MAP resolution and to submit evidence of withdrawal of domestic appeals. Conveying of acceptance of the MAP resolution within this time period is mandatory and failure to do so may render the MAP resolution implementable. Similarly, the Assessing Officer has been provided a time period of one month (from the end of the month in which he receives the letter of the CA of India having jurisdiction over the case providing details of the resolution) for giving effect to the MAP resolution. These timelines are expected to quicken the MAP implementation process and make it more efficient and effective. While intimating the Pr. CCIT concerned the details of resolution agreed under the MAP, the CAs of India shall mark a copy of their letter to the Assessing Officer, her controlling officer, the CIT/PCIT and CCIT concerned, and to the taxpayer to ensure expeditious implementation.

3. Post-Implementation Reporting

Assessing Officers must inform the competent authority regarding tax payments, refunds, appeal withdrawals, and related compliance actions. The Assessing Officer, in addition to sending a copy of the order giving effect to the MAP resolution to the CA of India having jurisdiction over the case, must also provide information regarding the amount/date of payment of taxes by the taxpayer or amount/date of issue of refund to the taxpayer (as the case may be), withdrawal of appeals filed by the tax authorities, and any other relevant details.

6. The MAP guidance, as above, may be adhered and referred to by taxpayers, tax practitioners, tax authorities in India, and CAs of India. If any element of the MAP guidance comes in conflict with the domestic legislation, rules, instructions, and circulars in India or with the DTAAs

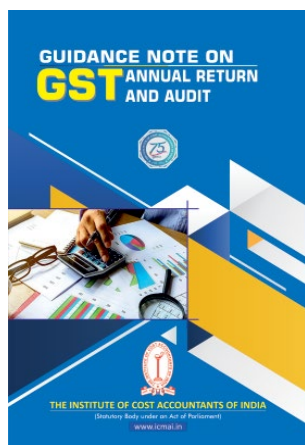
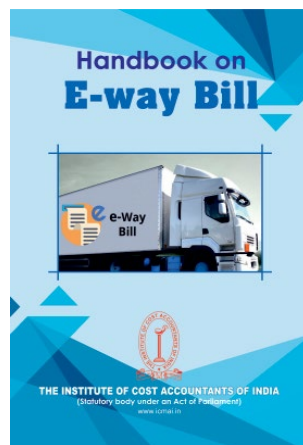
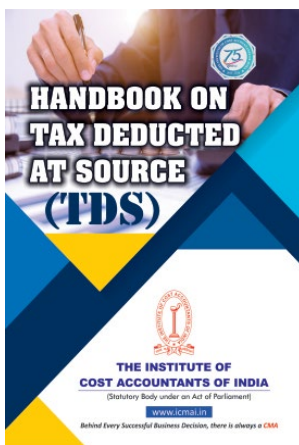
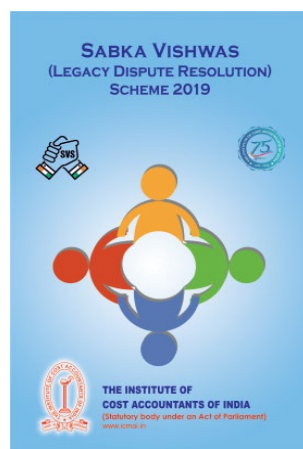
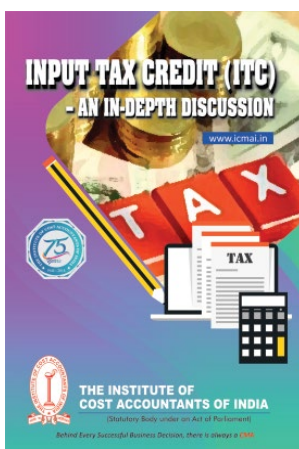
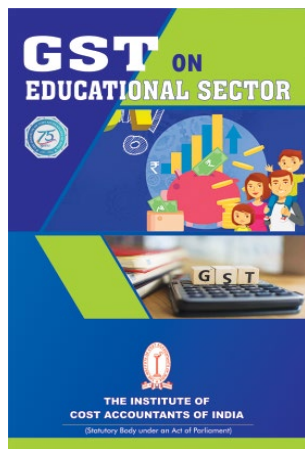


entered into by India, the provisions of such domestic legislation, rules, instructions, and circulars or the DTAA's, as the case may be, shall prevail.

Concluding Note

This MAP Guidance serves as a comprehensive operational manual for the MAP framework in India. In case of conflict, domestic law or treaty provisions prevail. The guidance reflects India's commitment to transparent, effective, and internationally aligned dispute resolution.

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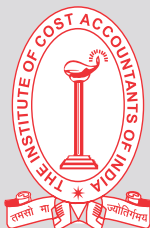


Contact Details:

Tax Research Department
 12, Sudder Street, Kolkata - 700 016
 Phone : +91 33 40364747
 40364798 / 40364711
 Email: trd@icmai.in

HEADQUARTERS

CMA Bhawan
 3, Institutional Area, Lodhi Road,
 New Delhi - 110003
 Ph: + 91-11-24666100/24666124/24666122
 Fax: +91-11-43583642



KOLKATA OFFICE

CMA Bhawan
 12, Sudder Street, Kolkata - 700 016
 Ph: +91-33-2252-1031/34/35/1602/
 1492/1619/7373/7143
 Fax: +91-33-2252-7993/1026/1723

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